

China Daily Brief

Tuesday, September 22, 2026

2,714 words · 11 min read

RE: RE: Xi's DC visit confirmed · Generals purged from PLA · Taiwan arms pressure · Alibaba AI chip · Fifth Plenum Oct 26-29

USD/CNY
6.6875
▼ -0.35%

SSE COMPOSITE
3,952.13
▲ +1.56%

HANG SENG
25,087.75
▲ +1.70%

BRENT
\$97.63
▼ -6.86%

IN THIS ISSUE [Top Stories](#) · [US-China](#) · [The World](#) · [Beijing](#) · [Markets](#) · [Statements](#) · [Analysis](#) · [Overnight](#) · [The Wire](#) · [Upcoming](#)

• TODAY AT A GLANCE

- 1 China confirmed Xi Jinping will make a state visit to Washington September 23-25, with Trump personally greeting him at Andrews Air Force Base and hosting a state dinner Thursday, as the Politburo set the Fifth Plenum for October 26-29.
- 2 China's Communist Party expelled former CMC Vice Chairman Zhang Youxia and General Liu Zhenli from the party and PLA over corruption and disloyalty allegations, per Reuters, AP and the Financial Times.
- 3 Reuters reports Xi is expected to press Trump to freeze future Taiwan arms sales by invoking the 1982 US-China joint communique when the two meet this week.

PLA

China expels former CMC vice chairman Zhang Youxia, General Liu Zhenli from party and military

China's Communist Party expelled **Zhang Youxia**, until this week a Central Military Commission vice chairman, and General Liu Zhenli from the party and PLA, citing corruption and disloyalty, per AP, Reuters and the Financial Times. Investigators cited "exceptionally large" bribes and accused the pair of having "crossed red lines," per NYT and FT. The expulsions follow October 2025's removal of He Weidong and Miao Hua at the Fourth Plenum, stripping a second layer of CMC leadership ahead of the Fifth Plenum, now set for October 26-29.

AP, REUTERS, FT, NYT

DIPLOMACY

Beijing confirms Xi's Sept 23-25 Washington visit as Politburo sets Fifth Plenum for Oct 26-29

China confirmed **Xi Jinping** will make a state visit to the US September 23-25, his first US trip in nearly three years. Trump will personally greet Xi at Andrews Air Force Base, host a state dinner Thursday, and Xi departs Friday. The Politburo's Monday meeting also set the Fifth Plenum of the 20th Central Committee for October 26-29.

SINOCISM

CROSS-STRAIT

Xi expected to press Trump to halt Taiwan arms sales under 1982 communique, sources say

Xi Jinping is expected to press Trump to freeze future US arms sales to Taiwan by invoking the 1982 US-China joint communique when the two meet this week, Reuters reports, citing sources. The pressure targets a proposed *\$14 billion* Taiwan weapons package that Trump has already delayed once since May, per the New York Times.

REUTERS, NYT

TECHNOLOGY

Alibaba unveils new AI chip, plans model with up to 10 trillion parameters

Alibaba shares jumped 5 percent in Hong Kong Tuesday after the company unveiled what it called its most powerful AI chip and outlined plans for a new model with between 5 trillion and 10 trillion parameters, per Reuters. The company also detailed plans to sharply expand global data-center capacity.

REUTERS, CNBC

SANCTIONS

China adds drug precursor chemicals to export control list ahead of Trump-Xi summit

China expanded its export control list to include additional drug precursor chemicals days before **Xi Jinping's** Washington visit, Reuters reports. The move follows Beijing's broader fentanyl-precursor enforcement commitments made under the Busan and Beijing summit agreements.

REUTERS

ENERGY	AI power demand accelerates China's nuclear fusion push, FT reports · FT China China's push for nuclear fusion is accelerating as AI-driven electricity demand grows, the Financial Times reports. Scale, supply chains and self-sufficiency goals are pushing China to the technology's cutting edge.
TRADE	Rare-earths friction threatens to stall US-China trade truce extension · SCMP China USTR Jamieson Greer blamed China Monday for creating "uncertainty" over extending the 2025 Busan agreement by withholding strategic mineral exports, per SCMP. The two sides separately reported progress implementing a narrower tariff-reduction mechanism.
INDO-PACIFIC	Two New Zealand navy ships transit Taiwan Strait · Taipei Times New Zealand frigate Te Mana and oiler Aotearoa transited the Taiwan Strait Friday as part of a three-month Indo-Pacific deployment, per Taipei Times. New Zealand's prime minister called it "a routine activity" conducted under international law.
CROSS-STRAIT	Taiwan's first domestic submarine could reach navy next month · Taipei Times The Hai Kun submarine departed for its 21st sea trial and 15th submerged test Monday, with delivery possible as early as next month, per Taipei Times. The vessel missed its original delivery deadline over testing delays and what its builder called "political pressure from China" in procuring equipment.
TECHNOLOGY	Taiwan faces 2.6 million cyberattacks daily, minister says · Taipei Times Taiwan counters more than 2.6 million cyberattacks per day on average, Minister of Digital Affairs Lin Yin-ching said, per Taipei Times. He said hackers from China, North Korea, Iran and Russia show particular interest in Taiwan.
ENERGY	Global stocks rally as oil drops on US-China trade hopes · AFP China Oil prices fell more than 3 percent Monday and global stocks rallied on hopes for a trade breakthrough and progress on the Iran conflict, per AFP. Saudi exports rose to more than 4 million barrels per day in September from 2.4 million in August.
TRADE	China's rare-earth grip looms over Trump-Xi summit, NYT reports · NYT China Manufacturers are struggling with constrained rare-earth supplies as US and Chinese officials negotiate export restrictions with global manufacturing consequences, per the New York Times. Rare-earth magnet exports to the US have dropped ahead of this week's meeting.

DIPLOMACY · REUTERS CHINA

Rubio, Japanese and Korean counterparts pledge to resist 'economic coercion' before Xi summit

Marco Rubio met Japanese Foreign Minister Motegi Toshimitsu and South Korean Foreign Minister Cho Hyun in New York, agreeing to resist "economic coercion" and stressing Taiwan Strait stability, per Reuters and SCMP. The three announced new economic-security talks and enhancements to a trilateral supply-chain early-warning system, two days before Xi's Washington arrival.

DIPLOMACY · AP CHINA

Fulfilling prior US-China deals remains 'a work in progress' as Trump, Xi meet again

AP reports implementation of the May Beijing summit's commitments, including *\$17 billion* in annual US farm purchases through 2028 and 200 Boeing aircraft, remains incomplete as the two leaders prepare to meet again. Both sides have accused the other of falling short of the October 2025 Busan truce terms.

INVESTMENT · ECONOMIST CHINA

Trump says China is opening up; American bosses disagree, Economist reports

The Economist reports that while **Trump** touts Chinese market-access gains ahead of the summit, American business executives operating in China describe continued restrictions and preferential treatment for domestic rivals. The gap complicates White House claims of progress on structural trade issues.

DIPLOMACY · REUTERS CHINA

US, China to hold next AI safety talks in Shenzhen in two months, Bessent says

Treasury Secretary **Scott Bessent** said the US and China will meet again on AI safety in Shenzhen in roughly two months, per Reuters, after this week's New York talks. Both sides described the talks as positive ahead of the Xi-Trump meeting.

DIPLOMACY · WAPO CHINA

US proposes AI incident alert system in talks with China

The US has proposed an AI-incident alert system to Chinese counterparts as part of ongoing safety negotiations ahead of the summit, the Washington Post reports. The proposal follows this week's New York talks and precedes a follow-up meeting in Shenzhen.

CONGRESS · SCMP CHINA

Ro Khanna calls for 'nuclear-style' US-China AI safeguards ahead of summit

House Select Committee on the CCP ranking member **Ro Khanna** said the US and China should agree on international AI regulatory standards akin to atomic-era guardrails, speaking in New York Monday, per SCMP. His remarks came two days before Xi's arrival in Washington for talks where AI is expected to feature prominently.

CONGRESS · REUTERS CHINA

US lawmakers urge Trump to maintain ban on Chinese automakers

A group of US lawmakers urged the Trump administration to preserve the existing ban on Chinese-made connected vehicles and components, Reuters reports, ahead of this week's summit. The letter reflects congressional pressure not to trade away the Commerce Department's Connected Vehicles Rule for concessions.

TARIFF · 自由时报 (LIBERTY TIMES ZH)

China's selective farm purchases, rare-earth curbs test US patience before summit

China has completed more than half of its pledged 25 *million tonne* annual soybean purchase target but has made little progress on a separate \$17 billion farm-goods commitment, per Liberty Times, citing Bloomberg reporting. USTR Jamieson Greer said Beijing was creating "uncertainty" by withholding strategic mineral exports pledged under the Busan deal.

● CHINA & THE WORLD

CROSS-STRAIT · WSJ CHINA

Xi sees 'rare window' to convince Taiwan resistance is futile, WSJ reports

WSJ reports **Xi Jinping** views Trump's presidency as a rare opportunity to convince Taipei that resistance to unification is futile, citing people familiar with Beijing's thinking. The analysis ties into Xi's expected push this week for Trump to curb Taiwan arms sales.

CROSS-STRAIT · REUTERS CHINA

Why is Taiwan such an important issue for China? Reuters explains

Reuters published an explainer on why Taiwan sits at the center of Beijing's national agenda, timed to this week's Xi-Trump summit. The piece surveys the historical and strategic stakes as both leaders prepare to discuss the island.

JAPAN · NYT CHINA

Takaichi seeks Trump's help on China pressure, NYT reports

Japanese Prime Minister **Sanae Takaichi** met Trump to discuss China's economic and security pressure while separately seeking to de-escalate tensions with Beijing, per the New York Times. The meeting comes as Tokyo, Washington and Seoul coordinate stances ahead of the Xi-Trump summit.

ASEAN · BLOOMBERG CHINA

Vietnam denies re-routing Chinese goods, says US trade deal close

Vietnam's leader said a US trade deal is close and denied that Vietnam is being used to re-route Chinese exports around US tariffs, per Bloomberg. The denial addresses long-standing US concerns about transshipment used to evade China-specific duties.

EUROPE · REUTERS CHINA

China, Europe should not fight trade wars, Wang Yi says

Foreign Minister **Wang Yi** said China and Europe should avoid a trade war, per Reuters, as Beijing seeks to head off EU trade-defense measures. The EU has separately pressed China for initial action on its trade surplus by early October.

LATIN AMERICA · REUTERS CHINA

Brazil to tap Uruguay's surplus beef quota for China exports, Lula says

Brazilian President Lula said Brazil will use Uruguay's unused beef-export quota to supply China, per Reuters. The arrangement expands Brazilian access to China's beef market.

40%

China's share of global container exports

The EU Chamber of Commerce in China flagged the share as evidence of trading partners' growing exposure to Chinese trade dependence, per the Financial Times.

Financial Times

• ECONOMY & BUSINESS

FINANCE · FT CHINA

China's gold imports top 1,000 tonnes on record spending

China imported more than *1,000 tonnes* of gold in the eight months to August, spending almost \$160 billion on bullion, per the Financial Times.

MANUFACTURING · BLOOMBERG CHINA

Copper rises for sixth day toward record on China tightness

Copper prices extended a six-day rally toward record highs on tight Chinese supply conditions, Bloomberg reports.

FINANCE / BANK OF AMERICA · REUTERS CHINA

China's offshore trust tax crackdown could hit single stocks, BofA says

Bank of America warned China's crackdown on offshore trust structures could affect specific listed companies, per Reuters.

MACRO · FT CHINA

China's share of global container exports soars to 40%

China's share of global container exports has risen to *40 percent*, the EU Chamber of Commerce in China said, calling the rise a threat to trading partners, per the Financial Times.

ENERGY · REUTERS CHINA

US battery startup that left Kentucky for China opens new factory

A US battery startup that relocated its planned facility from Kentucky to China opened a new factory this week, per Reuters, as Trump and Xi prepare to meet.

TECH / OMDIA · AFP CHINA

China's PC shipments grew 11% in Q2, Omdia data show

Mainland China PC shipments rose *11 percent* year-on-year to 11.4 million units in Q2, per Omdia, though full-year 2026 shipments are forecast to fall 6 percent.

AUTO / GAC · REUTERS CHINA

China's GAC to add EV, hybrid production capacity in Europe

Chinese automaker GAC plans to launch 12 electric and hybrid models in France by 2030 and add European production capacity, per Reuters.

• WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · TUESDAY, SEPTEMBER 22, 2026

商务部 · MOFCOM · *Ling Ji, Vice Minister of Commerce and Deputy China International Trade Negotiation Representative*

Convenes foreign-enterprise roundtable in Beijing

Ling Ji conducted research in Beijing and chaired a roundtable with foreign-invested enterprises, per MOFCOM's website.

→ [MOFCOM ZH](#) ↗

商务部 · MOFCOM · *Wang Wentao, Minister of Commerce*

Holds video call with European auto industry chief, meets German counterpart

Wang Wentao held a video call with the chairman of the European Automobile Manufacturers' Association and separately met the head of Germany's VDA auto association, per Yicai.

→ [Yicai ZH](#) ↗

中国人民银行 · PBOC

Conducts CNY35 billion 7-day reverse repo

The People's Bank of China injected 35 billion yuan via 7-day reverse repos to support liquidity ahead of the National Day holiday period, per Chinese financial media.

→ [PBOC ZH](#) ↗

外交部 · MOFA · *Guo Jiakun, MOFA spokesperson*

Confirms Vice President Han Zheng to address UN General Assembly

MOFA said Vice President Han Zheng will attend and address the 81st UN General Assembly general debate this week.

→ [MOFA ZH](#) ↗

PERSONNEL CHANGES

Zhang Youxia **EXPELLED**

CMC Vice Chairman

Expelled from the Communist Party and PLA over allegations of corruption and disloyalty; investigators cited "exceptionally large" bribes, per NYT and FT.

Liu Zhenli **EXPELLED**

PLA General

Expelled from the party and PLA alongside Zhang Youxia; Beijing alleged the pair "crossed red lines," per FT.

Hu Changsheng **APPOINTED**

Tibet party chief

Named the new Communist Party secretary of Tibet, per Reuters.

外交部 · MOFA · CHINA-US RELATIONS AHEAD OF XI'S WASHINGTON VISIT

CONCILIATORY · TO US

Guo Jiakun ¹ · MOFA spokesperson

“China is willing to work together with the US side to enrich the substance of a constructive and stable China-US relationship.”

中方愿同美方一道丰富中美建设性战略稳定关系内涵

The statement came as Beijing confirmed Xi's September 23-25 state visit to Washington.

MOFA presser ZH via Beijing News

外交部 · MOFA · ASEAN FREE TRADE AREA 3.0 IMPLEMENTATION

CONCILIATORY · TO OTHER

Guo Jiakun ¹ · MOFA spokesperson

“China is willing to work with ASEAN countries to implement the 'Free Trade Area 3.0' well and jointly build a China-ASEAN community with a shared future.”

中方愿同东盟各国落实好“自贸区3.0版”共建命运共同体

The remarks followed the RCEP fifth post-entry-into-force ministerial meeting held in Manila this week.

MOFA presser ZH via Beijing Daily

外交部 · MOFA · GLOBAL AI GOVERNANCE PRINCIPLES

ROUTINE · TO OTHER

Guo Jiakun ¹ · MOFA spokesperson

“All parties should jointly promote the open, inclusive, universally beneficial and virtuous development of artificial intelligence.”

各方应该共同推动人工智能开放、包容、普惠、向善发展

The comment came amid US-China talks on an AI safety dialogue mechanism ahead of this week's Xi-Trump summit.

MOFA presser ZH via Eastmoney

• WHAT OTHERS ARE SAYING

SKY NEWS INTERVIEW · SEP 21, 2026

Hsiao Bi-khim · Vice President of Taiwan

“We will not provoke, but at the same time, we will not yield by compromising our basic freedoms and our democracy.”

Taiwan's Vice President spoke to Sky News about record Chinese coast guard presence near Taiwan proper, citing an AMTI/CSIS Futures Lab analysis.

source

DER TAGESSPIEGEL VIA DW CHINESE · SEP 22, 2026

Raymond Kuo · East Asia expert, Chicago Council on Global Affairs

“Low pay, combined with low social status, means military service is no longer a popular option.”

Taiwan's draft-age male population fell below 100,000 for the first time in 2023 and is projected to fall to 77,000 next year, per the report.

source

TRADE

BLOOMBERG CHINA

Greer says US, China to continue trade truce extension talks

Greer says US and China will continue talks on extending their trade truce beyond current terms.

WSJ CHINA

Pharma companies press Trump administration to protect China deals

Pharmaceutical companies are pressing the Trump administration to protect existing China deals ahead of the summit.

REUTERS CHINA

China making progress finalizing Boeing purchases from May summit

China is making progress finalizing Boeing aircraft purchases announced at the May Beijing summit, Reuters reports.

DIPLOMACY

CNBC CHINA

CNBC flags five things to watch at Trump-Xi summit

CNBC's China newsletter flags five things to watch at the Trump-Xi summit, from AI to tariffs.

TECHNOLOGY

FT CHINA

Taiwan stock index hits record as AI optimism lifts global markets

Taiwan's tech-heavy stock index hit its highest level, up more than 60 percent this year, amid AI-driven global market optimism.

HUMAN RIGHTS

NYT CHINA

Family of detained Chinese pastor rebuilds life in exile

A detained Chinese pastor's wife is rebuilding her life in exile after dozens of Zion Church members were detained, per NYT.

CROSS-STRAIT

TAIPEI TIMES

Manila reaffirms One-China policy, open to Taiwan ties

The Philippines reaffirmed its One-China policy while insisting it can still pursue economic and cultural ties with Taipei.

TAIPEI TIMES

MAC: US Taiwan policy won't change after Xi-Trump summit

Taiwan's MAC deputy minister said US Taiwan policy will not fundamentally change, citing "three no changes."

● UPCOMING

Sep
23

Xi Jinping state visit to Washington begins

Trump greets Xi at Andrews Air Force Base and hosts a state dinner Thursday; Xi departs Friday, per Sinocism.

Oct
1

PRC National Day, 77th anniversary

Marks the 1949 founding of the People's Republic of China.

Oct
26

Fifth Plenum of the 20th Central Committee opens

Runs through October 29 in Beijing; set by the Politburo's September meeting, per Sinocism.

Nov
3

US midterm elections

A mid-term test for the Trump administration's China policy agenda.

Nov
28

Taiwan nine-in-one local elections

22 mayoral and magistrate races and roughly 11,000 offices, read as a mid-term on President Lai Ching-te.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the China Daily Brief as a member of the CSIS China Programs distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

generated 7:14 AM ET

[↑ BACK TO TOP](#)

© 2026 Center for Strategic and International Studies